INSURANCE AND PENSIONS COMMISSION

QUARTERLY REPORT

FOR

FUNERAL ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2016

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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
’15	2015
’16	2016
H1	Half year
Var	Variance
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

3.0 Industry Overview

This report covers 9 funeral assurance companies.

The industry realized $18.7million in net premiums written (June 2015: $18.3 million). Given the high retention ratios, the industry is encouraged to consider risk management and in particular reinsurance as a defensive mechanism. Total costs shed 4% compared to the same period last year to $14million due to expenditure cuts in management expenses. Technical profit for the six months this year was $4.7 million (June 2015:$3.7 million).The expense and combined ratios were reportedly 48% and 75% respectively (June 2015:54% and 80%).

As at 30 June 2016, total industry assets grew from $48.5million reported last year to the current $56.1million mainly due to property revaluations.

The prescribed assets ratio continued to be below the required 7.5% and the average was at 1% of the funeral fund(See Table 1, below).

Table 1: Financial Performance Indicators for the Funeral Industry - 30 June 2016

Financial Aspect	Funeral Assurers		
	Jun-15	Jun-16	Growth
Gross Premiums Written($000)	**18,329**	**18,675**	2%
Net Premiums Written ($000)	**18,329**	**18,675**	2%
Retention Ratio	100%	100%	-
Total Gross Claims ($000)	**4,701**	**5,009**	7%
Total Net Claims ($000)	**4,701**	**5,009**	7%
Management Expenses ($000)	**8,410**	**7,385**	-12%
Commissions ($000)	**1,490**	**1,616**	8%
Total Costs($000)	14,602	14,010	-4%
Technical Profit($000)	3,727	4,665	25%
Expense Ratio	54%	48%	6%
Claims Ratio	26%	27%	1%
Combined Ratio	80%	75%	-5%
Total Assets ($000)	48,530	56,136	16%
Current Liabilities	**12,874**	**14,958**	16%
Total Liabilities ($000)	**25,121**	**23,955**	-5%
Current Assets	**15,024**	**18,346**	22%
Liquidity Ratio	123%	123%	-
Capital($000)	**23,409**	**32,182**	37%
Capital to liability Ratio	99%	34%	65%
Prescribed Assets(000)	**108**	**232**	115%
Prescribed Assets Ratio	**0.4%**	**1%**	0.6%

4.0 Corporate and Sole Agents for Funeral Companies

The table below shows the total number of registered agents as at 30 June 2016 was 633. Players are required to ensure that all agents are registered with the Commission.

Name of Company	Corporate Agents	Sole Agents
Cell	-	-
Doves	-	90
First Funeral	-	19
Foundation	-	13
Moonlight		493
Passion	-	4
Ruvimbo	-	-
Sunset	-	-
Vineyard	3	11
Total	**3**	**630**

05. Business Written by Funeral Companies

For the half year ended 30 June 2016, players wrote $18.7million in Net Written Premiums (June 2015:$18.7million), a 2% growth from the same period last year (See Table 2, below).

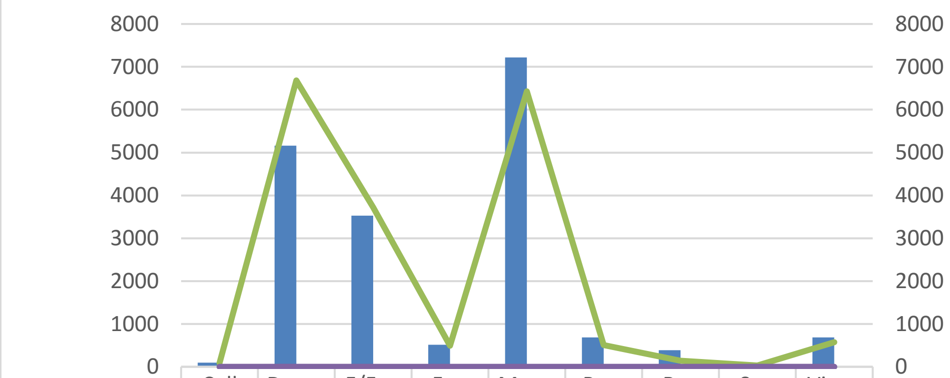
Table 2: Net Premium Distribution by Company for the half year ended 30 June 2016

Name Of Company	June 2015(000)	June 2016(000)	Growth
Cell	95	91	-4%
Doves	5,162	6,683	29%
First Funeral	3,530	3,724	5%
Foundation	512	492	-4%
Moonlight	7,217	6,430	-11%
Passion	686	510	-26%
Ruvimbo	391	138	-65%
Sunset	50	30	-40%
Vineyard	686	577	-16%
Total	**18,329**	**18,675**	2%

06. Market Share

For the current reporting period, the top three funeral assurers wrote 90% or $16,8million of net business (June 2015:86% or $15.9million) The remaining players shared 10% or $1,8 million business . The Commission continues to encourage players to compete on service quality as well as promotion of financial inclusion via micro-insurance(See Figure 1 below)

Figure1: Market Share by Net Premium Written for the half year ended 30 June 2015



	Cell	Doves	F/Fun	Fou	Moon	Pass	Ruv	Sun	Viney
Jun,15	95	5,162	3,530	512	7,217	686	391	50	686
%	1%	28%	19%	3%	39%	4%	2%	0%	4%
Jun,16	91	6,683	3,724	492	6,430	510	138	30	577
%	0%	36%	20%	3%	34%	3%	1%	0%	3%

07. Business Composition

For the half year under review, the industry wrote $18.7 million in gross premiums resulting in a negligible retention ratio. We continue to encourage players to spread risk via reinsurance as this will increase their underwriting capacity both financially and technical.

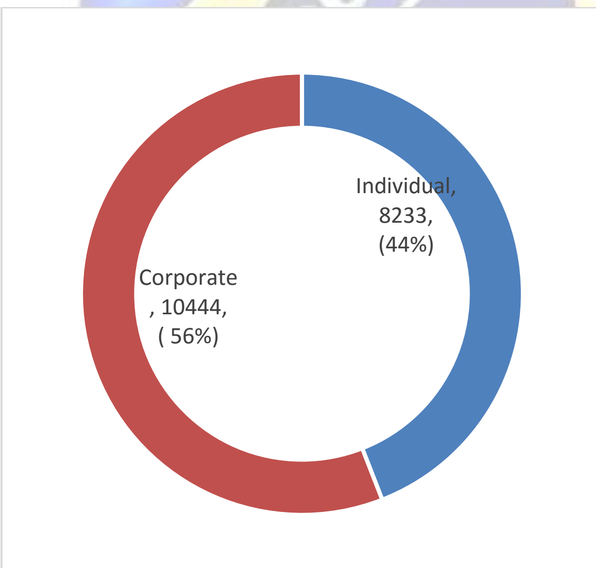
Individual life business constituted 44% or $8.2million of the total business underwritten whilst the balance of 56% or $ 10.4million was corporate business (June 2015: Individual-48% or $8.8million; Corporate-52% or $9.5million).

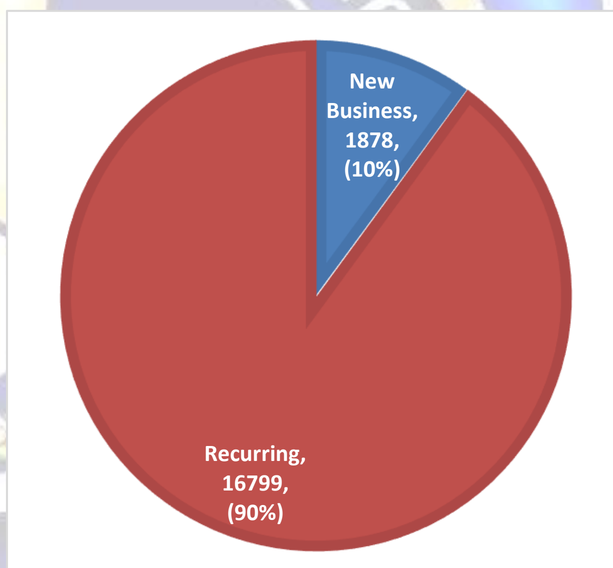
For the same period, new business was $1.8million or 10% (June 2015:2% or $0.4million) whilst recurring business was 98% or $17.9million) (See Table 3 and figure 2 below).

Table 3: Business Composition by Company for the half year ended 30 June 2016

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-15	Jun-16	Growth (%)	Jun-15	Jun-16	Growth (%)	Jun-15	Jun-16	Growth (%)	Jun-15	Jun-16	Growth (%)	Jun-15	Jun-16	Growth (%)
Cell	0	-	0%	0	14	0%	0	77	0%	95	-	0%	95	91	-4%
Doves	29	42	45%	684	714	4%	69	1,195	1632%	4,380	4,732	8%	5,162	6,683	29%
F. Funeral	26	6	-77%	3,504	3,718	6%	0	-	0%	0	-	0%	3,530	3,724	5%
Foundation	10	3	-70%	83	79	-5%	0	0	0%	419	410	-2%	512	492	-4%
Moonlight	0	210	0%	3,740	2,994	-20%	148	0	-100%	3,329	3,226	-3%	7,217	6,430	-11%
Passion	13	2	-85%	203	149	-27%	24	3	-88%	446	356	-20%	686	510	-26%
Ruvimbo	27	44	63%	144	95	-34%	36	-	0%	184	-	0%	391	139	-64%
Sunset	0	-	0%	55	30	-40%	0	-	0%	-	-	0%	55	30	-45%
Vineyard	2	89	4350%	283	44	-84%	20	207	935%	381	238	-38%	686	578	-16%
TOTAL	107	396	270%	8,696	7,837	-10%	297	1,482	399%	9,234	8,962	-3%	18,334	18,677	2%

Figure2: Business Composition for the half year ended 30 June 2016 (000)





7.0 Not-taken Up policies and Lapsed Policies

For the current review period, players reported not-taken up policies amounting to $33 000 or less than 1% of the gross premiums written. Lapse ratios however, were reportedly higher with some players and this could be a sign of mi-selling in the value chain. This attracts statutory penalties on offenders . Table 4, below shows the detailed lapse ratios for the half year.

Table 4: Not-taken up policies and Lapsed Policies

	Not Taken Up Policies	Lapse Ratios	
	Total Premiums(000)	Individual (%)	Group Bus (%)
Cell	18	-	-
Doves	0	-	-
First Funeral	13	75%	-
Foundation	2	360%	-
Moonlight	0	93%	-
Passion	0	-	
Ruvimbo	0	-	-
Sunset	0	-	-
Vineyard	0	-	-
Total	**33**	**-**	**-**

8.0 Claims Aged Analysis

The total outstanding claims for the six month period to June amounted to $180 000. Timeous claims settlement is a prudent marketing tool as well as a way of managing reputational and legal risk.IPEC continues to investigate players with aged claims both via onsite and offsite inspections(See Table 5,below).

Table 5: Claims Aged Analysis (000)

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	8	0	-	-	3	-	14	-	-	25
31-60days	-	-	-	-	-	-	24	-	-	24
61-90days	-	-	-	-	-	-	31	-	-	31
91-120days	-	-	-	-	-	-	79	-	-	79
<121 days	-	-	-	21	-	-	-	-	-	21
Reinsurance	-	-	-	-	-	-	-	-	-	-
Total	8	-	-	21	3	-	148	--	-	180

9.0 Debtors Aged Analysis (000)

For the half year period ended 30 June 2016, the industry reported total premium debtors amounting to $2.9 million with 41% of the this figure aged over 121 days which is indicative of the general liquidity squeeze in the economy. Consequently we encourage the industry to introduce more affordable micro-insurance products which suit earning capacity for the majority of policyholders both existing and prospective(See Table 6,below)

Table 6: Debtors Aged Analysis

Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days	2	-	-	10	261	65	14	-	82	434
31-60days	5	-	83	3	175	52	24	-	76	418
61-90days	-	-	271	3	112	55	31	-	52	524
91-120days	-	-	84	3	110	28	79	-	48	352
<121 days	-	-	-	50	714	403	-	-	54	1,221
Total	**7**	**-**	**439**	**69**	**1,371**	**603**	**148**	**-**	**312**	2,949

10.0 Earnings

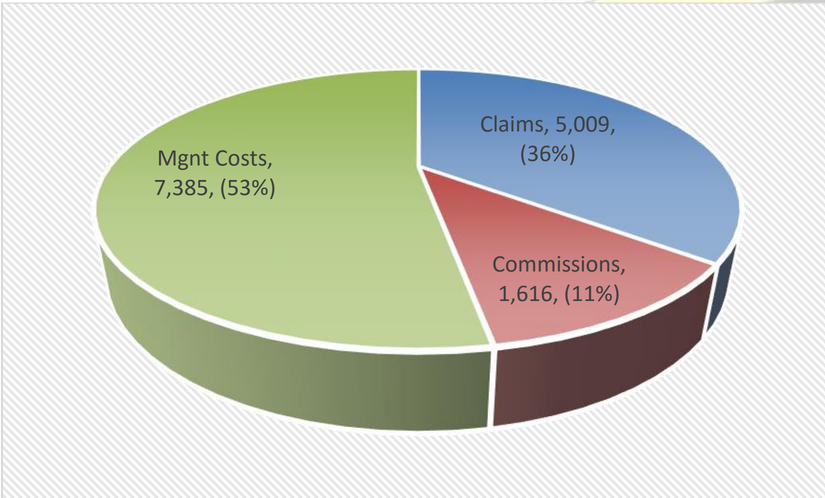
The key earnings indicators for the funeral assurance industry are as shown in Table 7 and Figure 3 below.

Table 7: Key Earnings Indicators By Company for the half year ended 30 June 2016

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Jun-15	Jun-16	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Cell	95	91	22	8	-64%	0	-	0%	116	114	-2%	138	122	-12%	145%	134%	19%
Doves	5,162	6,683	2,129	2,540	19%	448	594	33%	1,368	1,522	11%	3,945	4656	18%	76%	70%	-6%
F/Funeral	3,530	3,724	1,063	1,054	-1%	727	761	5%	1,033	1,011	-2%	2,823	2,826	0%	80%	76%	-4%
Foundation	512	492	71	67	-6%	43	26	-40%	358	343	-4%	472	436	-8%	92%	87%	-5%
Moonlight	7,217	6,430	1,142	1,067	-7%	249	190	-24%	4,840	3,899	-19%	6,231	5,156	-17%	86%	83%	-3%
Passion	686	510	149	131	-12%	2	1	-50%	299	52	-83%	450	184	-59%	66%	36%	30%
Ruvimbo	391	138	26	20	-23%	8	6	-25%	219	122	-44%	253	148	-42%	65%	106%	41%

Sunset	50	30	1	1	0%	0	0	0%	27	22	-19%	28	23	-18%	56%	79%	23%
Vineyard	686	577	98	121	23%	13	38	192%	150	300	100%	261	459	76%	38%	80%	42%
Total	**18,329**	**18,675**	**4,701**	**5,009**	7%	**1,490**	**1,616**	8%	**8,410**	**7,385**	-12%	14,602	14,010	-4%	80%	75%	-5%

Figure 3: Cost Distribution for the half year ended 30 June 2016



For the half year ended 30 June 2016, operational costs amounted to $7.385million or 53% of total costs (June 2015:$ 8.41million or 58%); claims-$5,009 million or 36% (June 2015: $4.701 million or 32%) and total commission was $ 1,616 million or 11% (June 2015:10% or $1.49million) of total costs.

The industry recorded an average combined ratio of 75% (June 2015:80%) and an expense ratio of 48%(June 2015:46%). Cost management continues to be a critical success factor in this challenging operating environment.

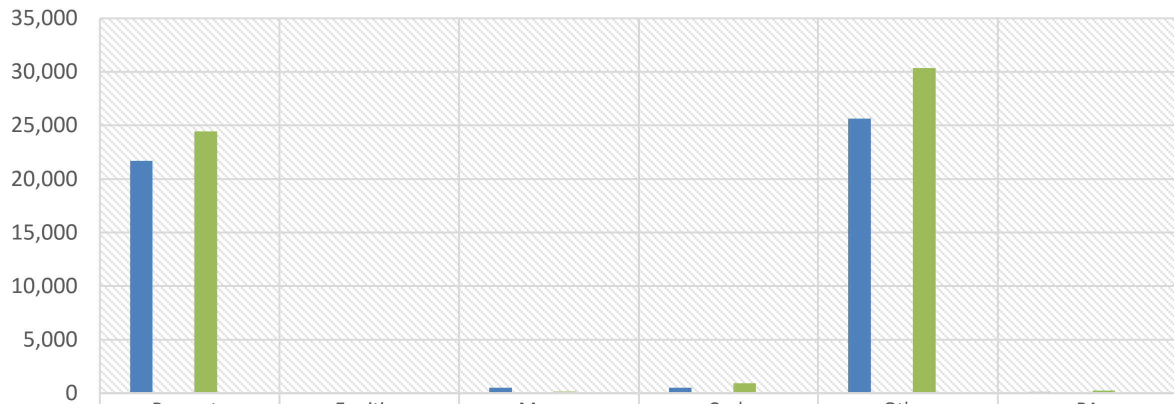
11. Asset Quality

The total asset base of the funeral industry as at 30 June 2016 was as illustrated in Table 8 and Figure 4 below.

Table 8: Funeral industry Asset Base as at 30 June 2016

Company	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
Cell	902	1,198	33%	16	16	0%	118	89	-25%	12	1	-92%	76	38	-50%	0	-	0%	1,124	1,342	19%
Doves	3,639	4,573	26%	5	4	-20%	320	-	0%	322	778	142%	12,365	15,649	27%	23	60	161%	16,674	21,064	26%
F/Funeral	1,106	850	-23%	37	10	-73%	0	0	0%	35	-35	-200%	6,737	7,884	17%	0	-	0%	7,915	8,709	10%
Foundation	1,395	1,395	0%	0	0	0%	34	17	-50%	74	110	49%	629	755	20%	48	85	77%	2,180	2,362	8%
Moonlight	9,946	11,435	15%	0	-	0%	0	-	0%	4	6	50%	3,608	4,040	12%	16	45	181%	13,574	15,526	14%
Passion	640	640	0%	0	0	0%	0	0	0%	26	23	-12%	595	360	-39%	0	-	0%	1,261	1,023	-19%
Ruvimbo	1,086	1,113	2%	0	0	0%	0	0	0%	12	19	58%	1,041	1,071	3%	2	6	200%	2,141	2,209	3%
Sunset	1,678	1,694	1%	0	0	0%	0	0	0%	0	0	0%	21	12	-43%	0		0%	1,699	1,706	0%
Vineyard	1,300	1,537	18%	3	2	-33%	32	38	19%	37	25	-32%	571	557	-2%	19	36	89%	1,962	2,195	12%
Total	**21,692**	**24,435**	13%	61	32	-48%	**504**	**144**	-71%	**522**	**927**	78%	25,645	30,366	18%	**108**	**232**	115%	48,530	56,136	16%

Figure 4: Total Asset Base as at 30 June 2016



	Property	Equities	Money	Cash	Other	PA
Jun,15	21,692	61	504	522	25,645	108
%	45%	0%	1%	1%	53%	0%
Jun,16	24,435	32	144	927	30,366	232
%	44%	0%	0%	2%	54%	0%

As at 30 June 2016, the total asset base was $56,136million broken down thus: fixed assets-44% or $24.44million (June 2015:45% or $21,69million), equities-$0.032million or 0%(June 2015: 0.061million or 0 %), money market-$0.144million or 0 %(June 2015: $0.504 million or 1%) ,cash assets-2% or $0.927million (June 2015:$0.522m or 1%) and other assets-$30,37million or 54% (June 2015:53% or $25.65million).Prescribed assets continued to be grossly undersubscribed despite directives to the contrary as well as regulatory minimum of 7.5%.The Commission will continue to penalize the industry in order to ensure compliancy.

12. Capitalization and Solvency

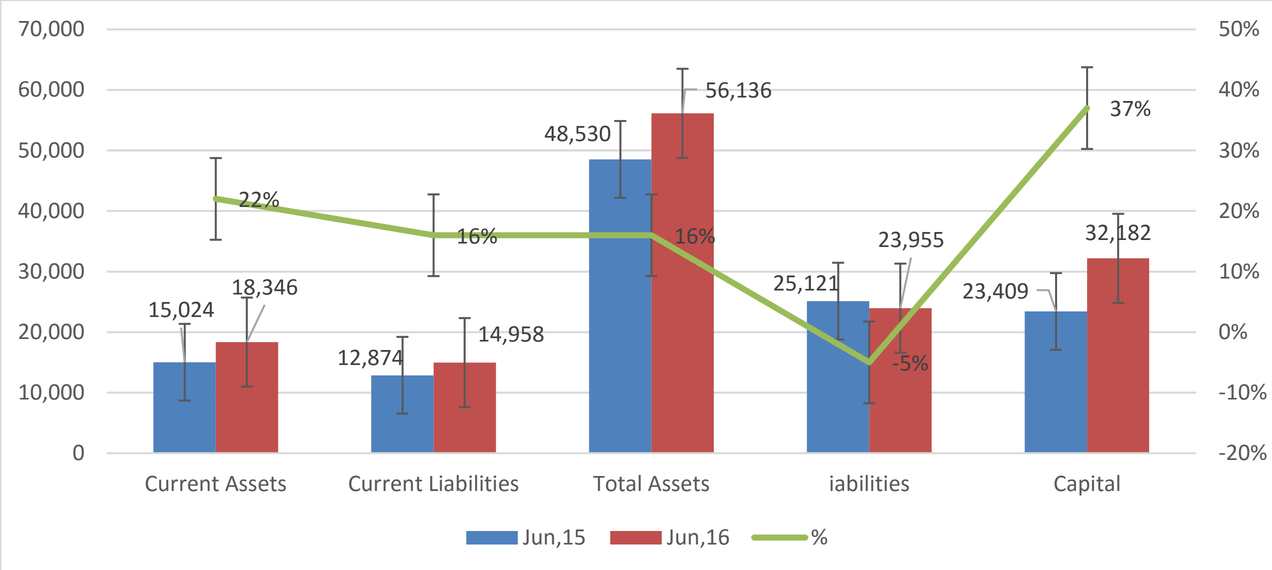
Three entities continued to be undercapitalized well below the minimum required capital levels of $1.5 million. Corrective efforts are on-going. The industry reported average capital to liability ratio of 134% and liquid ratio of 123% showing solid capacity to offset claims and other obligations on demand (see Table 9 and Figure 5, below).

Table 9: Levels of Capitalization, Liquidity and Solvency Indicators as at 30 June 2016

Company	Current Assets	Current Liabilities	Total Assets	Total Liabilities	Capital (Net Assets)	Capital to liability Ratio (%)	Liquidity (Current) Ratio (%)

	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-15	%
Cell	222	144	-35%	609	349	-43%	1,124	1,342	609	695	14%	*515*	*647*	26%	85%	93%	8%	36%	41%	6%
Doves	6,798	9,824	45%	1,575	2,152	37%	16,674	21,064	7,058	2,795	-60%	9,616	18,269	90%	136%	654%	518%	432%	457%	25%
F/Funeral	2,283	2,433	7%	287	409	43%	7,915	8,709	2,700	3,311	23%	5,215	5,398	4%	193%	163%	-30%	795%	595%	-200%
Foundation	569	706	24%	484	494	2%	2,180	2,362	1,405	1,726	23%	*775*	*637*	-18%	55%	37%	18%	118%	143%	25%
Moonlight	3,612	4,045	12%	8,685	10,091	16%	13,574	15,526	11,890	13,693	15%	1,684	1,833	9%	14%	13%	-1%	42%	40%	-2%
Passion	576	225	-61%	357	441	24%	1,261	1,023	357	441	24%	*904*	*582*	-36%	234%	132%	102%	160%	51%	-109%
Ruvimbo	452	489	8%	639	716	12%	2,141	2,209	639	716	12%	1,502	1,493	-1%	235%	208%	27%	71%	68%	-3%
Sunset	1	12	1100%	84	182	117%	1,699	1,706	84	200	138%	1,615	1,506	-7%	1923%	753%	-1170%	1%	7%	6%
Vineyard	511	468	-8%	157	124	-21%	1,962	2,195	379	378	0%	1,583	1,817	15%	418%	481%	63%	325%	377%	52%
Total	**15,024**	**18,346**	22%	**12,874**	**14,958**	16%	48,530	56,136	**25,121**	**23,955**	-5%	**23,409**	**32,182**	37%	93%	134%	41%	117%	123%	6%

Figure 5: Levels of Capitalization, Liquidity and Solvency Indicators



13.0 Summery Of Circulars and Statutory Instruments

For the period under review the Commission issued the following circulars and statutory instruments :-

Table 10: Issued Circulars and Statutory Instruments for the half year ended 30 June 2016

Statutory Instrument/ Circular	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19th February 2016
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular 3 of 2016	Licensing manual for entities in the insurance sector	22 June 2016
Circular 4 of 2016	Proposed Micro-Insurance Regulatory Framework	22 June 2016
Circular 5 of 2016	Certificate of proficiency in Trusteeship	27 June 2016

Circular 6 of 2016	Guideslines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular 7 of 2016	Training on AML/CFT	22 August 2016

Table 11: List Of Approved Prescribed Asset Paper

Prescribed Assets Update- 31 July 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Update on take ratios
ZB Financial Holdings 2015/2016 Agro bills	The target amount was $5million at a coupon rate of 5%. **Purpose**: intended to support the 2015/2016 agricultural season	$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4th of November 2016 and 19th of December 2016
FBC & Agribank 2015/2016 Agrobills	The target amount was $20million at a coupon rate of 10%, **Purpose**: intended to support the 2015/2016 agricultural season	A total of US$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June.
IDBZ Series 2 2014B (US$50million)	Bond has a tenor of 5 years at 9% coupon rate. **Purpose**: Refurbishment of Kariba South Power Station and Repowering of Harare Power Station.	The bank has raised US$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	$50million at a coupon rate of 10.5% p.a **Purpose**: Finance the purchase of grain by the Grain Marketing Board	Bond Fully repaid in June 2016.

Homelink	Initial bond amount of $15m. **Purpose**: Development of stands and construction of housing units	No update at the moment on uptake.
NMB	A $10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years **Purpose**: Mortgage Loan facility for low income leaners	No update at the moment on uptake.
Honde Hydro Power Consolidated	Bond amount of $5million with a coupon rate of 8.5% to 9%, with a tenor of 5years **Purpose**: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Approved on the 13th of May 2016. No update at the moment on uptake.
IDBZ Series 1 2015B	$5million bond at a coupon rate of 9.5% with a tenor of 5 years **Purpose:** To finance housing projects namely New Marimba Park in Harare and Clipshan Views Surburb in Masvingo	Application was approved on the 13th of May 2016. No update at the moment on uptake.
Agribank and FBC, 2016/2017 Agrobills	Bond amount of US$20million, coupon rate negotiable on private placement. **Purpose**: is to finance the 2016/2017 agricultural season.	Application approved on the 27th of July 2016 and is now open for subscription.
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	Bond amount of $15million at 7% per annum **Purpose:** to finance ZETDC Pre-Paid Meters	Application approved on the 27th of July 2016 and is now open for subscription.

Conclusion

The industry continues to show signs that it is a viable albeit some challenges relating to premium debtors, capitalization as well as compliancy to prescribed paper. Various engagements, administrative, and punitive are on course to restore legal and regulatory concerns.